

HB 3107 -- WRITTEN GUIDANCE FOR FINANCIAL INSTITUTIONS

SPONSOR: Oehlerking

COMMITTEE ACTION: Voted "Do Pass" by the Standing Committee on Financial Institutions by a vote of 10 to 1 with 3 members voting present. Voted "Do Pass" by the Standing Committee on Rules-Administrative by a vote of 7 to 0 with 2 members voting present.

This bill amends Chapter 361, RSMo, by adding a new section relating to written guidance for financial institutions.

The bill provides that a financial institution is not subject to civil liability under Missouri law for any act or omission made in compliance with, or in good faith reliance on, written guidance issued by a regulatory agency, even if the guidance is later modified, rescinded, or held invalid by a court.

This bill does not bar actions or proceedings when the act or omission involved fraudulent activity, intentional misconduct, wanton or willful conduct, or gross negligence.

The bill applies only to the extent not preempted by Federal law and specifies that nothing in the Section limits the authority of federal or state governments or regulatory agencies to bring civil, criminal, or administrative enforcement actions.

PROPOSERS: Supporters say that this bill will provide transparency and clarity for financial institutions on the rules, laws, and regulations that they are subject to and required to follow. This bill protects both the financial institutions and their customers. The bill could prevent class action or frivolous lawsuits, which in turn could allow financial institutions to lower the amount of reserves they allocate for such lawsuits.

Testifying in person for the bill were Representative Oehlerking; Missouri Bankers Association; and Jason Peach, West Community Credit Union.

OPPOSERS: Those who oppose the bill say that this bill does not add transparency to the internal regulations and guidance published by individual financial institutions, which the public and their customers are not aware of or privy to. The Department of Revenue (DOR) does not have enough staff or resources to take on the amount of lawsuits that would be directed at DOR instead of at the financial institutions. This bill also provides

unelected individuals the power to decide what the rules, laws, and regulations are and how they are enforced. The customer has no option to recoup funds under this bill if lost due to fault of a financial institution.

Testifying in person against the bill were Gabe Harris, Missouri Association of Trial Attorneys.

OTHERS: Others testifying on the bill say this bill does not limit the regulation authority of any government entity or protect banks from federal or state lawsuits if they do in fact break a law.

Testifying in person on the bill was Chris Pieper, Missouri Credit Union Association.

Written testimony has been submitted for this bill. The full written testimony and witnesses testifying online can be found under Testimony on the bill page on the House website.